

29th July, 2025

Key Changes	Target ▼	Rating ▼	Earnings ▼	HOLD	Target: Rs. 337 CMP: Rs. 306 Return: +10%
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Stock Type: Large Cap	Bloomberg Code: ETERNAL:IN	Sensex: 81,334	NSE Code: ETERNAL	BSE Code: 543320	Time Frame: 12 Months
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Company Data

Market Cap (Rs.cr)	295,735
52 Week High — Low (Rs.)	314 - 190
Enterprise Value (Rs. cr)	294,166
Outstanding Shares (cr)	965.0
Free Float (%)	71.9
Dividend Yield (%)	-
6m average volume (cr)	6.1
Beta	1.0
Face value (Rs.)	1.0

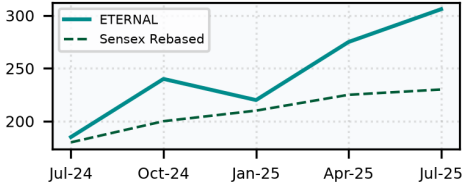
Shareholding (%)

Category	Q3FY2 5	Q4FY2 5	Q1FY2 6
Promoters	0.0	0.0	0.0
FII's	47.3	44.4	42.3
MFs/Institutions	20.5	23.6	26.6
Public	8.0	8.5	7.6
Others	24.1	23.6	23.5
Total	100.0	100.0	100.0
Promoter Pledge	Nil	Nil	Nil

Price Performance

Period	3 Month	6 Month	1 Year
3 Month	32.1%	3.0%	29.2%
6 Month	44.8%	7.9%	36.9%
1 Year	39.7%	2.5%	37.1%

Price Performance (1 Year)



Y.E March (cr)

Metric	FY25A	FY26E	FY27E
Sales	20,243	35,020	54,632
Growth (%)	67.1	73.0	56.0
EBITDA	637	1,248	3,575
EBITDA Margin (%)	3.1	3.6	6.5
PAT Adjusted	527	927	2,643
Growth (%)	50.1	75.9	185.2
Adjusted EPS	0.6	1.0	2.7
Growth (%)	46.3	60.1	185.2
P/E	335.8	325.2	114.1
P/B	6.4	9.6	8.9
EV/EBITDA	302.2	240.3	84.0
ROE (%)	1.7	3.0	7.8
D/E	0.1	0.1	0.1

Blinkit propels growth; valuation limits upside

Eternal Limited, formerly Zomato Limited, operates as an online food delivery company. It runs a B2C platform under the Zomato brand. The company also operates Hyperpure and Blinkit, organises events, provides payment services and engages in investment activities.

- Consolidated revenue from operations surged 70.4% YoY in Q1FY26 to Rs. 7,167cr as all segments demonstrated robust growth.
- Revenue from the quick commerce business soared 154.8% YoY to Rs. 2,400cr, while the Hyperpure supplies and India food ordering segment grew 89.4% and 16.4% YoY, respectively.
- Net order value (NOV) of B2C businesses rose 55% YoY to Rs. 20,183cr in Q1FY26, with quick commerce NOV exceeding food delivery NOV for the first time.
- EBITDA fell 35.0% YoY to Rs. 115cr in Q1FY26, mainly due to higher operating expenses; consequently EBITDA margin declined 260bps to 1.6%.
- Reported PAT plunged 90.1% YoY to Rs. 25cr in Q1FY26 because of lower EBITDA.
- Blinkit added 243 new stores in Q1FY26, taking the total to 1,544 stores, and aims to hit 2,000 stores by December 2025.

Outlook & Valuation

Eternal Limited is poised for long-term growth and improved profitability, driven by its strong market position and growth prospects in the quick commerce business (QCB). The company's focus on inventory ownership and margin improvement is expected to drive profitability. Although the industry outlook remains competitive, the company's strategy and long-term growth objectives, along with its strong management team, are expected to drive future growth. However, the stock's significant run-up in price and rich valuations limit the upside potential from current levels. Therefore, we downgrade our rating on the stock to HOLD from BUY with a revised target price of Rs. 337, based on 6x FY27 price/sales.

Quarterly Financials Consolidated

Rs.cr	Q1FY26	Q1FY25	YoY Growth (%)	Q4FY25	QoQ Growth (%)
Sales	7,167	4,206	70.4	5,833	22.9
EBITDA	115	177	-35.0	72	59.7
Margin (%)	1.6	4.2	-260bps	1.2	40bps
EBIT	-199	28	-810.7	-215	7.4
PBT	88	239	-63.2	97	-9.3
Rep. PAT	25	253	-90.1	39	-35.9
Adj PAT	25	253	-90.1	39	-35.9
Adj. EPS (Rs)	0.03	0.3	-90.1	0.04	-35.9

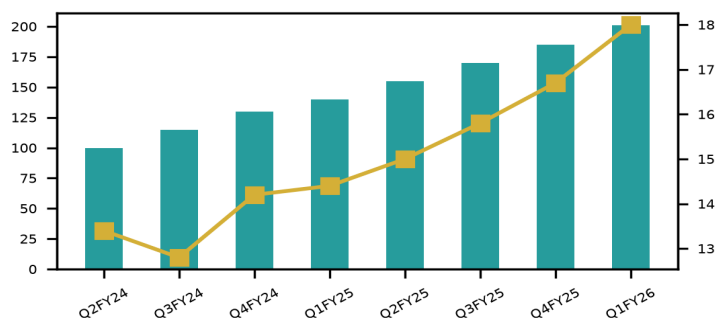
Key highlights

- NOV growth in food delivery edged lower to 13% YoY in Q1FY26 from 14% in the previous quarter. The growth trajectory of NOV is expected to stabilise after seeing a downturn in late 2024. For FY26, a growth rate exceeding 15% is anticipated, with a potential upward trend towards 20% in FY27.
- Margins of the food delivery business declined QoQ despite expanding YoY, due to lower availability of delivery partners on account of festivals and adverse weather conditions, which is a seasonal impact that occurs every year in Q1.
- The long-term profitability of the Blinkit business is not a concern, as a significant portion of the business is already generating profits, with certain cities achieving an impressive 2.5%+ adjusted EBITDA margin (as a percentage of NOV). The early achievement of such margin is a strong indication of the feasibility of the company's long-term guidance of a 5-6% margin.
- The Blinkit business witnessed a remarkable 127% YoY growth in NOV, driven by a significant 123% increase in average monthly transacting customers. The company's profitability also improved, despite ongoing investments in new store roll-outs and seasonal factors.
- The company is transitioning its quick commerce business from a marketplace model to inventory ownership over the next 2-3 quarters, anticipating a 1 percentage point margin expansion as a result, while also expecting shrinkage in Hyperpure's non-restaurant business as most B2B buyers in Hyperpure's non-restaurant business were sellers on the quick commerce platform.

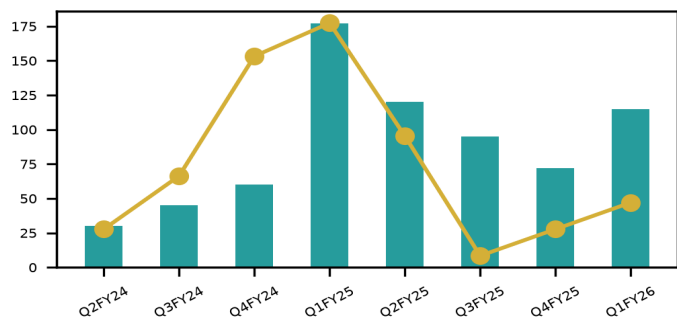
Revenue



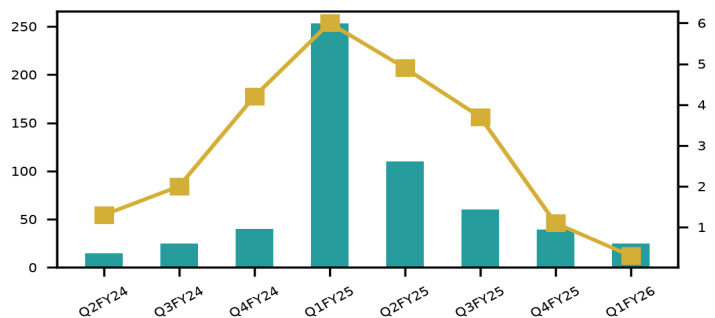
Gross Order Value



EBITDA



PAT



Change in Estimates

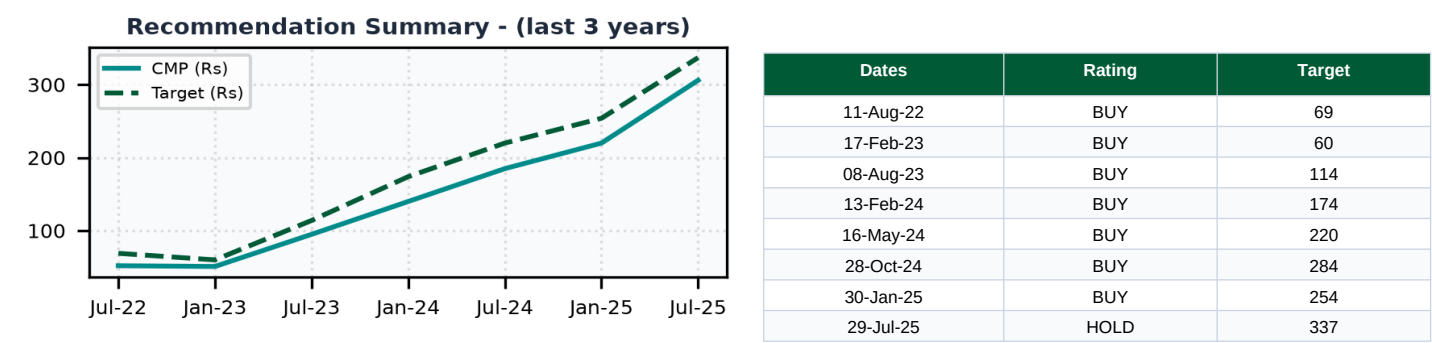
Year / Rs cr	Old FY26E	Old FY27E	New FY26E	New FY27E	Change % FY26E	Change % FY27E
Revenue	30,738	41,743	35,020	54,632	13.9	30.9
EBITDA	1,686	3,959	1,248	3,575	-25.9	-9.7
Margins (%)	5.5	9.5	3.6	6.5	-190bps	-300bps
Adj. PAT	1,460	3,254	927	2,643	-36.5	-18.8
EPS	1.6	3.6	1.0	2.7	-40.4	-23.7

Consolidated Financials

Profit & Loss (Rs Cr)	FY23 A	FY24 A	FY25 A	FY26 E	FY27 E	Balance Sheet (Rs Cr)	FY23 A	FY24 A	FY25 A	FY26 E	FY27 E
Sales	7,079	12,114	20,243	35,020	54,632	Cash	1,017	731	3,614	3,203	3,155
% change	68.9	71.1	67.1	73.0	56.0	Accts. Receivable	457	794	1,946	3,309	4,971
EBITDA	-1,210	42	637	1,248	3,575	Inventories	83	88	176	350	511
% change	-35.4	-100.1	63600.0	96.0	186.3	Other Cur. Assets	9,274	3,845	5,965	6,227	6,566
Depreciation	437	526	863	1,233	1,372	Investments	2,280	10,365	10,920	12,012	13,814
EBIT	-1,647	-484	-226	16	2,203	Gross Fixed Assets	363	529	1,460	2,511	3,740
Interest	49	72	154	181	208	Net Fixed Assets	636	977	2,883	3,063	3,198
Other Income	681	847	1,077	1,401	1,530	CWIP	7	18	51	56	62
PBT	-1,015	291	697	1,236	3,524	Intangible Assets	5,708	5,471	6,649	6,569	6,888
% change	-16.8	-128.7	139.5	77.3	185.2	Def. Tax -Net	-	-	-	-	-
Tax	44	60	-170	309	881	Other Assets	2,137	1,067	3,419	3,556	3,700
Tax Rate (%)	-4.3	20.6	-24.4	25.0	25.0	Total Assets	21,599	23,356	35,623	38,346	42,866
Reported PAT	-971	351	527	927	2,643	Current Liabilities	1,406	2,083	3,326	5,022	6,791
PAT att. to common shareholders	-971	351	527	927	2,643	Provisions	94	88	120	138	159
Adj. PAT	-971	351	527	927	2,643	Debt Funds	392	588	1,654	1,737	1,824
% change	-35.5	-136.1	50.1	75.9	185.2	Other Liabilities	254	191	213	213	213
No. of shares (cr)	855.4	882.0	965.0	965.0	965.0	Equity Capital	836	868	907	907	907
Adj EPS (Rs.)	-1.2	0.4	0.6	1.0	2.7	Res. & Surplus	18,624	19,545	29,410	30,337	32,980
% change	-28.1	-134.2	46.3	60.1	185.2	Shareholder Funds	19,460	20,413	30,317	31,244	33,887
DPS (Rs.)	-	-	-	-	-	Minority Interest	-7	-7	-7	-7	-7
						Total Liabilities	21,599	23,356	35,623	38,346	42,866
						BVPS	23	23	31	32	35

Cashflow (Rs Cr)	FY23 A	FY24 A	FY25 A	FY26 E	FY27 E	Ratio (Rs Cr)	FY23 A	FY24 A	FY25 A	FY26 E	FY27 E
Net inc. + Depn.	-520	836	1,390	2,160	4,015	EBITDA margin (%)	-17.1	0.3	3.1	3.6	6.5
Non-cash adj.	-7	-48	-506	-1,803	-2,925	EBIT margin (%)	-23.3	-4.0	-1.1	0.0	4.0
Changes in W.C	-317	-142	-576	89	-134	Net profit mgn.(%)	-13.7	2.9	2.6	2.6	4.8
C.F. Operation	-844	646	308	445	956	ROE (%)	-5.0	1.7	1.7	3.0	7.8
Capital exp.	-101	-202	-931	-1,051	-1,229	ROCE (%)	-8.3	-2.3	-0.7	0.0	6.2
Change in inv.	179	4,073	-5,941	-68	-70	Receivables (days)	23.6	23.9	35.1	34.5	33.2
Other invest.CF	379	-4,218	-1,121	181	208	Inventory (days)	21.7	11.1	11.5	11.3	11.0
C.F - Investment	457	-347	-7,993	-938	-1,091	Payables (days)	177.7	112.2	100.7	102.2	104.6
Issue of equity	4	23	8,501	-	-	Current ratio (x)	7.5	2.6	3.5	2.6	2.2
Issue/repay debt	-23	-40	-	83	87	Quick ratio (x)	4.1	1.3	2.4	1.8	1.6
Dividends paid	-	-	-	-	-	Gross asset T.O (x)	28.2	27.2	20.4	17.6	17.5
Other finance.CF	-108	-190	-459	-	-	Total asset T.O (x)	0.4	0.5	0.7	0.9	1.3
C.F - Finance	-127	-207	8,042	83	87	Int. covge. ratio (x)	-33.6	-6.7	-1.5	0.1	10.6
Chg. in cash	-514	92	357	-411	-48	Adj. debt/equity (x)	0.0	0.0	0.1	0.1	0.1
Closing Cash	1,017	731	3,614	3,203	3,155	EV/Sales (x)	6.1	13.3	9.5	8.6	5.5
						EV/EBITDA (x)	n.m.	3,825.7	302.2	240.3	84.0
						P/E (x)	n.m.	4,444.8	335.8	325.2	114.1
						P/BV (x)	2.2	7.9	6.4	9.6	8.9

Recommendation Summary - (last 3 years)



Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

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